

duced the East Asian miracle.

That we were in a critical stage where we had to change our policies or become totally marginal players on the world stage was a perception that had become widespread when the reforms began. But there was also the added element that a slow-growing economy had failed to lift our masses out of abysmal poverty. While a growing economy may have an inadequate effect on pulling people out of poverty through creation of opportunity, it is surely common sense that a stagnant economy will certainly be worse, just as businesses making losses cannot finance Corporate Social Responsibility. I should also add that, as I argue in depth in my book, *In Defense of Globalization* (Oxford, 2004), growth will also facilitate social improvements by making progressive legislation meaningful: for instance, one can reform divorce laws so a woman can walk out of a bad marriage, but that is no help if she cannot find a way to support herself as is more likely to happen when the economy is growing rather than stagnant.

So, we had shot ourselves in the foot, even in both feet and above, by following a policy framework, a model or template, that produced little growth and hence little impact on poverty and social improvement of the many poor. That was not merely bad in itself, for it undermined the shared objective of Mahatma Gandhi and Jawaharlal Nehru and other leaders of India after Independence that we eliminate poverty in India and modernise our social legislation as with the Hindu Code Bill. But it also further reduced our influence on the world stage. How could we command attention when the world could see the massive poverty and our failure to make a serious dent on it?

● **Two Stages of Reforms: Then and Now** There is little doubt that these reforms, which I call Stage 1 reforms, which started dismantling the crippling policy framework of the pre-reforms period, have produced since the 1990s the economic growth that we had hoped for. They have also led to a significant impact on poverty. By conventional definitions of poverty, nearly all observers are agreed that the acceleration of the growth rate over nearly two decades, a near doubling of our average growth rate, has lifted over 200 million of the poor above the poverty line—though, before you break out the champagne bottle, remember that they are still poor and there are many more who are still below the poverty line.

The fact still is that we still have a long way to go in completing these Stage 1 reforms. The old policy framework was so extensive that dismantling it is like cleaning up after a tsunami: it cannot be done in one fell swoop. So, the prime minister has to reform the labour legislation where both

rights and obligations must be recognised. Little privatisation has occurred; though, the fact that imports have become more liberal, the entry of private sector firms like the new airlines has been allowed, and the licensing machinery has been virtually dismantled, has made the public sector more efficient through competition. Agriculture and services need to be progressively subjected to more import competition just as we exposed the manufacturing sector to progressively greater import competition, with good rather than bad results for our industry. We can produce yet greater and sustained prosperity, and therefore yet greater impact on poverty reduction, by completing more Stage 1 reforms. The prime minister needs to

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BY THE YEAR

2004 UPA, TSUNAMI

Sonia rejects PM's post and nominates Manmohan Singh. The Shankaracharya of Kanchi is the central character in a murder plot. Forest brigand Veerappan killed. Major Rajyavardhan Singh Rathore wins silver medal at the Athens Olympics. Corporate battle between Mukesh Ambani and Anil Ambani begins. Tsunami hits Indian Ocean; kills 2,00,000 people in about a dozen countries.

2005 JINNAH, NO-FRILLS FLYING

Srinagar-Muzaffarabad bus service begins. L.K. Advani praises Jinnah in Pakistan sparking a row; later steps down as BJP president. Low-cost airlines enter Indian skies. Indo-US nuclear pact is signed. Floods wreak havoc in Mumbai. Quake kills 80,000 in both parts of Kashmir. Serial blasts in Delhi; 62 killed. Abu Salem extradited. Natwar Singh resigns as minister after he is named in the oil-for-food scam.

2006 NUCLEAR DEAL, BIRD FLU

Serial blasts in local trains in Mumbai; 209 killed. Ottavio Quattrocchi is acquitted in Bofors case. President George Bush visits India to seal the Indo-US nuclear deal. ArcelorMittal becomes the largest steel maker in the world. Indian companies acquire 307 firms worth \$20 billion abroad. Bird flu breaks out. The landmark Indo-US 123 bilateral agreement is signed. Indra Nooyi is CEO of PepsiCo.

Shopping malls
Global warming
Skinny jeans
Item girls
Going Green
Neocon
INDIE FILMS
War on Terror
India's Moon Shot
Naxals
T-20
CELL PHONE
Low cost flying
Fusion food
Facebook
MMS
Size Zero
Six-pack abs
BlackBerry
BLING
Made in China
Cheerleaders
Sleeper cells
Plasma TVs
iPods
Botox
MELTDOWN
WMDs
9/11
26/11
War on Terror
India's Moon Shot
Naxals
T-20
CELL PHONE
Indian Idol
SEZs
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